MISSISSIPPI FINANCIAL PROFILE

State of the Union Financial Q&A Reference Guide

ECONOMIC METRIC	STATE SCORE / BENCHMARK	NATIONAL BASELINE REFERENCE
Composite Cost of Living Index	86.4	100.0
Housing Cost Metric	68.9	100.0

Core Financial Jurisdictional Q&A

Q1: What is the individual income tax structure in Mississippi?

Mississippi has transitioned to a single flat individual income tax rate of 4.00% on all taxable income above a generous standard exemption limit, completely eliminating lower progressive brackets.

Q2: How are residential properties assessed for tax purposes in Mississippi?

Residential properties are assessed at a highly favorable legal ratio of 10% of their true market value. Taxes are then calculated by multiplying this assessed value by local county and municipal millage rates.

Q3: What is the sales tax rate, and does it apply to groceries?

The general state sales tax rate is 7.00%. Unlike most states, Mississippi applies the full 7.00% sales tax rate to retail grocery purchases, though some municipalities offer minor exceptions.

Q4: What homestead exemptions are available to older citizens?

Homeowners aged 65 or older, or those who are totally disabled, are fully exempt from all ad valorem property taxes on the first $7,500 of assessed value (equivalent to $75,000 in true market value).

Q5: Does Mississippi levy an estate or inheritance tax?

No. Mississippi does not impose a state-level estate tax or inheritance tax, aligning its regulations with the federal estate tax exemption thresholds.